7-6 Special-Purpose Cash Funds

Objective 6 - Describe the accounting for special-purpose cash funds.

A company often has to pay small amounts for such items as postage, office supplies, or minor repairs. Although small, such payments may occur often enough to total a significant amount. Thus, it is desirable to control such payments. However, writing a check for each small payment is not practical. Instead, a special cash fund, called a **petty cash fund** (A special cash fund to pay relatively small amounts.) , is used.

A petty cash fund is established by estimating the amount of payments needed from the fund during a period, such as a week or a month. A check is then written and cashed for this amount. The money obtained from cashing the check is then given to an employee, called the *petty cash custodian*. The petty cash custodian disburses monies from the fund as needed. For control purposes, the company may place restrictions on the maximum amount and the types of payments that can be made from the fund. Each time money is paid from petty cash, the custodian records the details on a petty cash receipts form.

The petty cash fund is normally replenished at periodic intervals, when it is depleted, or when it reaches a minimum amount. When a petty cash fund is replenished, the accounts debited are determined by summarizing the petty cash receipts. A check is then written for this amount, payable to Petty Cash.

To illustrate, assume that a petty cash fund of $500 is established on August 1. The entry to journalize this transaction is as follows:

Aug.	1	Petty Cash	500	
		Cash		500

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Petty Cash				
500 (credit)	500 (debit)				

The only time Petty Cash is debited is when the fund is initially established, as shown in the preceding entry, or when the fund is being increased. The only time Petty Cash is credited is when the fund is being decreased or eliminated.

At the end of August, there is $30 of petty cash on hand and petty cash receipts for the following items:

Office supplies	$380
Postage (debit Office Supplies)	22
Store supplies	35
Miscellaneous administrative expense	30
Total	$467

If the amount to replenish the petty cash fund does not equal the total of the petty cash receipts, the difference is recorded as Cash Short and Over. In the preceding example, $470 ($500 less cash on hand of $30) is needed to replenish the petty cash fund. Since the total of the petty cash receipts is $467, Cash Short and Over is debited for $3, as shown in the following entry to replenish the petty cash fund.

Aug. 31	Office Supplies	402	
	Store Supplies	35	
	Miscellaneous Administrative Expense	30	
	Cash Short and Over	3	
	Cash		470

Petty Cash is not debited or credited when the petty cash fund is replenished. Instead, only the accounts affected by the petty cash receipts and any Cash Short and Over are recorded, as shown in the preceding entry. Replenishing the petty cash fund restores the fund to its original cash on hand of $500.

Companies often use other cash funds for special needs, such as payroll or travel expenses. Such funds are called **special-purpose funds** (Cash funds used for a special business need.) . For example, each salesperson might be given $1,000 for travel-related expenses. Periodically, each salesperson submits an expense report, and the fund is replenished. Special-purpose funds are established and controlled in a manner similar to that of the petty cash fund.

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